SIP Monthly Meeting

18 Dec 2025

Agenda (18 Dec)

1. Dec-25 Performance

2. For discussion
   - 2.1. FY26 plan

3. For update
   - 3.1. Ops clean-up update
   - 3.2. AME update
   - 3.3. Direct selling update

Performance

Topline [Nov full-month]: 240k ADO, 99% RR, %CB 7.6%, -0.4pp MoM; ADG $2.3M, 98% RR, %CB 8.7%, +0.05pp MoM

Metric	BU / program	Nov25 Full-month					Target	
		Nov Actual	Target	RR	M-1	MoM	Nov 25	Dec 25
ADO	**ADO**	**239,981**	**242,906**	**99%**	**243,537**	**-1%**	**242,906**	**249,893**
	Local SIP	180,002	179,399	100%	181,467	-1%	179,399	185,731
	CN SIP	31,872	34,962	91%	31,377	2%	34,962	32,135
	Swarm	4,770	4,468	107%	10,160	-53%	4,468	5,702
	Direct Selling	15,941	16,179	99%	13,749	16%	16,179	19,006
	WH cross-selling	7,396	7,898	94%	6,784	9%	7,898	7,319
ADO as % of CB	**ADO as % CB**	**7.6%**	**7.4%**	102%	**8.0%**	**-0.4%**	**7.4%**	**7.2%**
	Local SIP	5.7%	5.5%	104%	6.0%	-0.3%	5.5%	5.4%
	CN SIP	1.0%	1.1%	94%	1.0%	-0.02%	1.1%	0.9%
	Swarm	0.2%	0.1%	110%	0.3%	-0.2%	0.1%	0.2%
	Direct Selling	0.5%	0.5%	102%	0.5%	0.1%	0.5%	0.5%
	WH cross-selling	0.2%	0.2%	97%	0.2%	0.01%	0.2%	0.2%
ADG	**ADG**	**$2,337,092**	**$2,386,663**	**98%**	**$2,268,917**	**3%**	**$2,386,663**	**$2,440,574**
	Local SIP	$1,724,288	$1,776,306	97%	$1,712,071	1%	$1,776,306	$1,794,017
	CN SIP	$288,424	$296,219	97%	$278,037	4%	$296,219	$247,473
	Swarm	$38,067	$36,584	104%	$52,592	-28%	$36,584	$53,029
	Direct Selling	$234,518	$222,584	105%	$183,233	28%	$222,584	$292,866
	WH cross-selling	$51,795	$54,971	94%	$42,985	20%	$54,971	$53,189
ADG as % of CB	**ADG as % CB**	**8.7%**	**9.1%**	**96%**	**8.6%**	**0.0%**	**9.1%**	**8.8%**
	Local SIP	6.4%	6.7%	95%	7.0%	-0.6%	6.7%	6.6%
	CN SIP	1.1%	1.1%	95%	1.1%	-0.1%	1.1%	0.9%
	Swarm	0.1%	0.1%	102%	0.2%	-0.1%	0.1%	0.2%
	Direct Selling	0.9%	0.8%	103%	0.8%	0.1%	0.8%	1.1%
	WH cross-selling	0.2%	0.2%	92%	0.2%	0.02%	0.2%	0.2%

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Highlights

Local SIP: 180k ADO, 101% RR, CB% -0.3pp MoM; $1.72M ADG, 97% RR, CB% -0.6pp MoM. MoM decline expected and consistent with past year trend, as SIP lacks EL and brands for 11.11. push; ADG behind target due to planned rebate investment to lift ADO.

CNSIP: 32k ADO, 91% RR, CB% -0.02pp MoM; $288k ADG, 97% RR, CB% -0.1pp MoM. Behind target due to 1) VN import tax (-2.5k ADO); 2) PH halloween detrend (-0.5k ADO). To push Xmas assortment in Nov-Dec.

Swarm: 4.8k ADO, 107% RR, CB% -0.2pp MoM; $38k ADG, 104% RR, CB% -0.1pp MoM. MoM decline is intentional to improve P&L health.

Direct: 16k ADO, 99% RR, CB% +0.1pp MoM; $235k ADG, 105% RR, CB% +0.1pp MoM; ADO slightly behind target after free ads credits end for top shops leading to lower traffic. In progress of planning ads service to Direct sellers to push up paid ads.

WH cross-selling: 7.4k ADO, 94% RR, CB% +0.01pp MoM; $52k ADG, 94% RR, CB% +0.02pp MoM. Behind target due to 1) MY SCS>SG price markup to do ads not effective; 2) SG PRM support cut (~600 ADO).

Topline [Dec EOM proj as of 15 Dec]: 246k ADO, 99% RR, %CB -0.1% MoM; ADG $2.46M, 101% RR, %CB +0.4% MoM; Rest of Dec focus on 1) local + CN SIP marketing ROI improvement; 2) direct selling acquisition

Metric	BU / program	MTD	Projection	Target	RR (proj)	M-1	MoM (proj)	Target	
								Dec 25	Jan 26
ADO	**Total**	**271,634**	**246,100**	**249,229**	**99%**	**239,981**	**3%**	**249,229**	**214,085**
	Local SIP	204,492	182,261	185,780	98%	180,002	1%	185,780	148,738
	CN SIP	32,311	32,148	32,599	99%	31,872	1%	32,599	30,649
	Swarm	6,375	4,525	4,525	100%	4,770	-5%	4,525	5,702
	Direct Selling	20,758	19,285	19,006	101%	15,941	21%	19,006	21,615
	WH cross-selling	7,698	7,881	7,319	108%	7,396	7%	7,319	7,381
ADO % CB	**Total**	**8.1%**	**7.5%**	**7.5%**	**99%**	**7.6%**	**-0.1%**	**7.5%**	**6.9%**
	Local SIP	6.1%	5.5%	5.6%	98%	5.7%	-0.2%	5.6%	4.8%
	CN SIP	1.0%	1.0%	1.0%	99%	1.0%	-0.03%	1.0%	1.0%
	Swarm	0.2%	0.1%	0.1%	100%	0.2%	-0.01%	0.1%	0.2%
	Direct Selling	0.6%	0.6%	0.6%	102%	0.5%	0.1%	0.6%	0.7%
	WH cross-selling	0.2%	0.2%	0.2%	108%	0.2%	0.01%	0.2%	0.2%
ADG	**Total**	**$2,639,679**	**$2,451,152**	**$2,431,360**	**101%**	**$2,337,092**	**5%**	**$2,431,360**	**$2,247,754**
	Local SIP	$1,930,760	$1,742,727	$1,793,688	97%	$1,724,288	1%	$1,793,688	$1,506,005
	CN SIP	$284,315	$309,855	$247,473	125%	$288,424	7%	$247,473	$297,921
	Swarm	$49,641	$44,143	$44,143	100%	$38,067	16%	$44,143	$53,029
	Direct Selling	$317,071	$294,995	$292,866	101%	$234,518	26%	$292,866	$335,272
	WH cross-selling	$57,892	$59,432	$53,190	112%	$51,795	15%	$53,190	$55,527
ADG % CB	**Total**	**9.6%**	**9.1%**	**9.1%**	**100%**	**8.7%**	**0.4%**	**9.1%**	**8.8%**
	Local SIP	7.0%	6.4%	6.7%	96%	6.4%	0.0%	6.7%	5.9%
	CN SIP	1.0%	1.1%	0.9%	124%	1.1%	0.1%	0.9%	1.2%
	Swarm	0.2%	0.2%	0.2%	99%	0.1%	0.02%	0.2%	0.2%
	Direct Selling	1.2%	1.1%	1.1%	100%	0.9%	0.2%	1.1%	1.3%
	WH cross-selling	0.2%	0.2%	0.2%	111%	0.2%	0.03%	0.2%	0.2%

Highlights

Local SIP: 182k ADO, 98% RR, +1% MoM, CB% -0.2pp MoM; $1.74M ADG, 97% RR, +1% MoM, CB% 0.05pp MoM; RR lower than expected due to budget reduction for SIP overall P&L breakeven; MoM topline improvement driven by SIP to PH christmas assortment push.

CNSIP: 32k ADO, 99% RR, CB% -0.03pp MoM; $310k ADG, 125% RR, CB% 0.1pp MoM; RR slightly lower than expected mainly due to 1) VN ADO gap due to import tax implementation (VN CB% still on par); 2) BR budget reduction from shipping loss and SKU cleanup loss 600 ADO.

Swarm: 4.5k ADO, 100% RR, CB% -0.01pp MoM; $36k ADG, 100% RR, CB% 0.02pp MoM; Currently on par to hit targets. Will monitor performance after budget cut since Dec 16th

Direct: 19k ADO, 101% RR, CB% +0.1pp MoM; $295k ADG, 101% RR, CB% +0.2pp MoM; growth mainly driven by (1) new sellers onboarded, including SIP performing sellers; (2) SKU effi improvement of maturing SKUs

WH cross-selling: 7.8k ADO, 108% RR, CB% +0.01pp MoM; $53k ADG, 111% RR, CB% +0.03pp MoM growth mainly driven by CB Choice outperform by 258%.

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[12.12. Performance - Local SIP] Achieved 400K ADO, +32% YoY, ADO CB%+2.2pp; $3.7M ADG, +17% YoY, ADG CB%+0.9pp; penetration higher than 11.11 +0.2pp driven by holiday fashion assortment push

		SG	MY	PH	TH	TW	VN	BR	MX	Total
Actuals	Local SIP ADO	76,137	175,205	122,446	23,046	2,111	/	331	340	399,616
	Local SIP ADG	975,266	1,432,533	986,531	215,506	42,057	/	5,940	5,109	3,662,942
	ADO CB%	19.1%	17.5%	4.6%	2.2%	1.7%	/	0.1%	5.7%	5.7%
	ADG CB%	14.9%	12.5%	4.9%	1.9%	0.9%	/	0.1%	4.1%	5.4%
Vs 12.12 2024	Local SIP ADO	▼1%	▲38%	▲51%	▲55%	▲7%	/	▼68%	▼46%	1 ▲32%
	Local SIP ADG	▼6%	▲30%	▲33%	▲14%	▲19%	/	▼71%	▼40%	▲17%
	ADO CB%	▲2.2pp	▲6.2pp	▲1.4pp	▲0.9pp	▲0.5pp	/	▼0.2pp	▲2.0pp	▲2.2pp
	ADG CB%	▼0.6pp	▲1.6pp	▲1.0pp	▲0.5pp	▲0.1pp	/	▼0.3pp	▲0.8pp	▲0.9pp
Vs 11.11 2025	Local SIP ADO	▼36%	▼6%	▲21%	▲0%	▼41%	/	▼46%	▲5%	▼8%
	Local SIP ADG	▼36%	▼11%	▲8%	▼7%	▼35%	/	▼55%	▼16%	▼16%
	ADO CB%	2 ▲0.8pp	▲2.6pp	▲0.3pp	▲0.2pp	▲0.1pp	/	▲0.0pp	▲1.4pp	▲0.2pp
	ADG CB%	▲1.2pp	▲0.9pp	▲0.2pp	▲0.1pp	▲0.1pp	/	▼0.0pp	▲0.0pp	▲0.2pp

Highlights

1 **ADO achieved 400K, YoY +32% mainly contributed by MY market (+38%) and PH market (+51%) driven by mkt optimisation and seasonal push**
- SG market ADO decline due to MYSG -35% YoY after shop return to direct and P&L optimisation to breakeven
- BR and MX due to 1) IDBR SKU clean-up due to platform limits; 2) removal of marketing budget to prioritise SEA market with higher ROI

2 Vs last spike 11.11: ADO% CB improve further by +0.2pp especially in our key markets driven by seasonal fashion push for Christmas/New Year products

Local SIP P&L [Dec EOM projection]:
Local SIP seller P&L $1.6M (ahead of target); total seller standalone+MP+SLS P&L $4.6M

		Actual Jan'25	Actual Feb'25	Actual Mar'25	Actual Apr'25	Actual May'25	Actual Jun'25	Actual Jul'25	Actual Aug'25	Actual Sep'25	Actual Oct'25	Actual Nov'25	Projection Dec'25	MOM
Local SIP	ADO	118,804	118,284	144,279	113,058	132,461	148,477	148,557	159,987	167,303	181,467	181,147	182,261	1%
	ADG	1,269,519	1,302,688	1,560,647	1,371,503	1,454,353	1,509,200	1,562,657	$1,626,123	1,638,425	1,712,071	1,736,678	1,742,727	0%
	Revenue	27,602,444	26,448,267	36,613,663	30,159,598	35,478,806	35,372,065	38,260,564	39,420,658	38,860,574	42,162,920	41,388,352	43,485,947	2,097,595
	COGS	(17,079,689)	(16,414,027)	(23,158,119)	(20,224,330)	(22,060,380)	(22,019,569)	(24,257,522)	(25,421,142)	(24,787,217)	(26,764,756)	(26,273,655)	(27,244,005)	(970,350)
	OPEX	1,190,554	690,603	(1,927,470)	(2,932,638)	(1,725,388)	(1,901,151)	(2,089,749)	(2,075,450)	(2,023,695)	(2,185,146)	(2,294,445)	(2,224,273)	70,172
	PC1	**11,713,309**	**10,724,843**	**11,528,074**	**7,002,630**	**11,693,038**	**11,451,345**	**11,913,293**	**11,924,066**	**12,049,662**	**13,213,018**	**12,820,251**	**14,017,668**	1,197,417
	Logistics Cost	(5,380,333)	(4,659,673)	(6,012,214)	(4,917,941)	(4,433,977)	(4,328,199)	(4,347,204)	(4,050,973)	(3,979,523)	(4,216,821)	(4,025,980)	(4,357,909)	(331,929)
	Platform Fees	(4,714,217)	(4,409,439)	(6,125,409)	(4,658,251)	(5,938,666)	(6,302,444)	(7,032,332)	(11,147,872)	(11,144,608)	(12,641,616)	(12,441,682)	(13,822,238)	(1,380,556)
	Paid Ads	(1,185,067)	(1,350,928)	(2,126,696)	(1,702,601)	(3,142,503)	(3,903,556)	(3,537,583)	(3,674,876)	(3,667,582)	(4,276,218)	(4,383,705)	(4,821,867)	(438,162)
	Marketing/Other Advertising Packages	0	0	0	0	0	(14,519)	(17,254)	(175,066)	(55,318)	(75,873)	(67,358)	(94,155)	(26,797)
	Seller Discount	(170,761)	(200,586)	(306,058)	(307,578)	(575,362)	(511,419)	(554,446)	(512,216)	(717,255)	(702,863)	(778,098)	(679,963)	98,135
	MP PC1 Pass Back	0	0	3,152,637	2,555,318	3,152,292	3,625,319	3,858,067	4,346,459	4,282,471	4,677,907	4,925,195	5,464,931	539,736
	PC2	**262,931**	**104,217**	**110,334**	**(2,028,423)**	**754,822**	**16,527**	**282,541**	**559,464**	**490,747**	**329,625**	**499,686**	**622,490**	122,804
	Staff Cost	0	0	0	0	0	0	0	0	(33,200)	(134,090)	(143,645)	(147,490)	(3,845)
	Big Seller Discount	**637,571**	**610,565**	**844,396**	**667,339**	**877,788**	**938,698**	**955,757**	**923,899**	**969,709**	**1,076,275**	**1,052,302**	**1,117,264**	64,963
	PC3 (Seller Standalone)	900,502	714,782	954,730	(1,361,084)	1,632,610	955,225	1,238,298	1,483,363	1,427,256	1,271,810	1,408,343	1 1,592,264	3 183,922
	P&L Target	398,364	415,722	631,008	467,610	317,314	681,655	649,506	636,311	664,238	1,019,439	1,054,894	1,142,523	87,630
	Difference vs Target	502,138	299,060	323,722	(1,828,694)	1,315,296	273,570	588,792	847,052	763,018	252,371	353,449	2 449,741	96,292
	A MP PC2	1,053,069	1,276,362	644,840	596,201	1,168,413	1,077,743	1,259,981	1,293,675	1,987,979	2,157,257	2,194,672	2,357,724	163,052
	SLS P&L	874,580	297,159	356,638	209,647	349,307	494,118	677,947	717,454	842,356	788,348	718,918	690,989	(27,929)
	Total P&L (Standalone+MP+SLS)	2,828,150	2,288,303	1,956,209	(555,236)	3,150,331	2,527,086	3,176,225	3,494,492	4,257,591	4,217,415	4,321,933	4 4,640,977	5 319,044

Highlights

1 **Seller standalone P&L $1.6M USD (ahead of target)**

- 2 **+$449.7k** (+0.83% GMV) ahead of target mainly due to combination of +200K USD (surplus from OPEX outperformance) and +275K USD (budget spending cut).
- 3 **+$183.9k USD vs Nov'25**. Dec'25 surplus is intentional to cover for SWARM's loss. Nov'25 surplus was driven by (a) USD 179.7K of unforeseen P MP PC1 passbacks from local MP fee hikes (factored in Dec'25 marketing budget) and (b) USD 110K one-off adhoc SLS compensation amount (not expected to recur).

4 **Total P&L: $4.64M**

- 5 **+$319K vs Nov** mainly due to 1) **+183.9K** seller P&L as mentioned above; offset by 2) MP PC2 **+163k (higher daily ads expenditure)** and 3) SLS P&L **-27.9K**.

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CNSIP (including Swarm) P&L [Dec EOM projection]:
CNSIP seller P&L -$35k; total seller standalone+MP+SLS P&L $385k

		Actual Jan'25	Actual Feb'25	Actual Mar'25	Actual Apr'25	Actual May'25	Actual Jun'25	Actual Jul'25	Actual Aug'25	Actual Sep'25	Actual Oct'25	Actual Nov'25	Projection Dec'25	MOM
CNSIP + SWARM	ADO	18,750	21,584	20,670	22,211	22,436	23,079	24,207	28,984	29,972	42,048	31,512	36,673	16%
	ADG	150,040	174,293	163,470	170,078	188,755	190,968	208,046	243,723	261,288	330,926	268,161	353,998	32%
	Revenue	2,982,713	3,672,797	3,760,884	3,743,031	4,114,288	3,896,390	4,223,504	4,771,106	4,811,891	6,794,720	6,101,993	8,485,188	2,383,195
	COGS	(1,434,772)	(1,793,387)	(1,867,232)	(1,920,594)	(2,216,621)	(2,307,513)	(2,537,053)	(2,912,881)	(2,856,963)	(4,380,071)	(3,656,111)	(4,632,455)	(976,344)
	PC1	1,547,941	1,879,410	1,893,652	1,822,437	1,897,667	1,588,877	1,686,451	1,858,225	1,954,928	2,414,649	2,445,882	3,852,733	1,406,851
	Logistics Cost	(584,335)	(690,101)	(695,883)	(700,311)	(797,455)	(790,840)	(885,035)	(966,015)	(964,931)	(1,619,385)	(1,328,514)	(1,809,333)	(480,819)
	Platform Fees	(401,852)	(474,774)	(480,667)	(498,874)	(556,593)	(528,116)	(571,726)	(756,831)	(835,404)	(940,519)	(1,131,204)	(1,560,423)	(429,219)
	Marketing/Other Advertising Packages	0	0	0	0	0	0	0	0	0	0	(7,797)	(10,035)	(2,238)
	Paid Ads	(375,267)	(413,465)	(352,996)	(438,371)	(340,955)	(274,844)	(219,515)	(271,593)	(118,082)	(743,543)	(398,417)	(447,488)	(49,071)
	Seller Discount	(199,795)	(267,579)	(276,064)	(171,239)	(182,732)	(196,060)	(210,373)	(180,693)	(160,116)	(619,660)	(276,545)	(161,132)	115,413
	PC2	(13,308)	33,490	88,042	13,643	19,752	(200,977)	(200,198)	(316,908)	(5,523)	(1,508,458)	(470,210)	(135,678)	334,532
	Staff Cost	0	0	0	0	0	0	0	0	(5,641)	(23,050)	(24,380)	(24,322)	58
	Big Seller Discount	72,372	85,436	83,750	89,460	93,883	93,373	102,982	107,342	114,009	146,227	124,657	125,324	667
	PC3 (Seller Standalone)	59,064	118,926	171,792	103,103	113,635	-107,604	-97,216	-209,566	102,845	(1,385,281)	(369,933)	1 (34,676)	4 335,257
	P&L Target	2,878	5,672	9,081	4,018	18,625	(147,530)	(186,034)	(188,952)	31,369	(1,379,775)	(351,328)	3 (78,266)	273,062
	Difference vs Target	56,186	113,254	162,711	99,085	95,010	39,926	88,818	(20,614)	71,476	(5,506)	(18,605)	2 43,590	62,195
	A MP PC2	250,109	(201,714)	140,215	223,726	64,051	(70,608)	(162,758)	(81,610)	(253,578)	190,894	(162,557)	(93,647)	68,909
	SLS P&L	250,678	309,064	312,027	309,398	336,783	324,036	340,537	388,403	361,273	703,240	414,751	513,408	98,658
	Total P&L (Standalone+MP+SLS)	559,851	226,276	624,034	636,227	514,469	145,824	80,563	97,227	210,540	(491,147)	(117,739)	5 385,085	6 502,824

Highlights

1 **Seller standalone P&L -$0.035M**

- 2 **-$2.5k** (-0.5% GMV) vs target within +/- 0.5% fluctuation buffer of target; spent more than proj mainly due to slight change in topline project that impacts the dollar amount of Seller PC2.
- 3 **+44k** Dec target P&L as Swarm has cut spendings to operate the business more healthier.
- 4 **+$0.34M** MoM mainly due to optimization in Swarm spending to operate the business more healthier, considering upcoming budget cuts, seller P&L to improve as above.

5 **Total P&L +$0.39M**

- 6 **+$0.5M** MoM due to Seller P&L MoM improvement mentioned above, but partially offset by 1) **+69k** MP PC2 due to higher topline and 2) **+99k** in SLS P&L due to higher topline

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SIP SLS lead time [FY25 overview]: E2E LT -14% YoY (21% faster than CNCB); LH+CC LT -26% YoY (42% faster than CNCB), driven by better capacity planning and closer monitoring with vendors

		FY24 Overall	FY25													FY24 vs FY25	FY25 CNSLS	SIP vs CN
			Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Overall			
LH+CC	**Top 5 lanes**																	
	ID-MY	2.4	1.9	2.4	2.4	2.2	1.8	1.8	1.9	1.9	1.8	1.8	2.0	1.9	1.9	-21%	2.9	-34%
	ID-PH	2.7	2.3	2.1	2.1	2.0	2.2	2.4	2.4	2.1	2.2	2.5	2.5	2.4	2.3	-15%	3.0	-22%
	ID-SG	1.4	1.4	1.2	1.3	1.2	1.4	1.3	1.2	1.3	1.4	1.3	1.3	1.4	1.3	-7%	2.2	-40%
	VN-MY	5.5	4.3	5.4	4.6	4.7	4.4	4.0	3.7	3.6	4.0	3.7	3.3	4.2	4.2	-24%	2.9	46%
	MY-SG	1.0	0.4	0.3	0.4	0.5	0.3	0.3	0.3	0.3	0.4	0.4	0.6	0.3	0.3	-70%	2.2	-86%
	Overall	2.2	1.7	1.9	1.8	1.8	1.6	1.6	1.6	1.5	1.6	1.6	1.7	1.7	1.6	-26%	2.8	-42%
E2E	**Top 5 lanes**																	
	ID-MY	6.6	5.6	6.1	6.8	6.5	5.5	5.6	5.7	5.7	5.7	5.5	5.6	5.8	5.9	-11%	6.3	-6%
	ID-PH	7.2	6.3	6.0	6.6	6.5	6.2	6.7	6.7	6.3	6.2	6.6	6.9	6.6	6.5	-10%	7.3	-11%
	ID-SG	5.4	4.7	4.6	5.2	5.0	4.7	4.6	4.7	4.9	4.9	4.7	4.9	5.0	4.9	-9%	5.4	-10%
	VN-MY	10.0	8.1	9.8	7.6	7.7	7.3	7.1	6.5	6.6	7.3	6.6	6.3	7.5	7.4	-26%	6.3	18%
	MY-SG	3.9	3.5	3.3	3.4	3.6	3.2	3.2	3.0	3.1	3.2	3.1	3.4	3.2	3.2	-18%	5.4	-41%
	Overall	6.1	5.2	5.4	5.7	5.6	5.0	5.1	5.0	5.0	5.1	5.0	5.2	5.2	5.2	-14%	6.7	-21%

Highlights:

- YoY LH+CC and E2E LT has reduced by 26% and 14% respectively.
- 1 IDMY / VNMY LH LT YoY reduction > 20% due to (1) volume split across 2-3 export/import ports to reduce capacity constraint (2) closely work with key vendors this year to do advance capacity planning and execute ad-hoc solution during peak season
- 2 VNMY E2E LT higher than CNCB by 20%, with LH+CC LT higher by 50% due to (1) limited VN export flight resource - direct flight capacity are scarce for VN export routes (2) limited VN export custom clearance time - custom official works 9-5.30 Mon to Sat, which made same-day flights or Sunday flights no possible

SIP SLS CPO [FY25 overview]: LH+CC/kg -3% YoY (53% lower than CNCB); CPO -9% YoY with savings reinvested to SIP topline growth; CPO 4% higher than CNCB due to 3x heavier in avg parcel weight

		FY24 Overall	FY25													FY24 vs FY25		FY25	SIP vs CN
			Actual											Projection				Actual	
			Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Overall			CNSLS	
LH+CC/kg	**Top 5 lanes**																		2
	ID-MY	1.67	1.64	1.68	1.58	1.60	1.58	1.57	1.50	1.47	1.49	1.56	1.56	1.59	1.56	-7%		2.45	-36%
	ID-PH	4.86	3.82	3.97	3.89	4.55	4.07	3.87	3.49	3.52	3.51	3.48	3.49	3.56	3.49	-28%		4.90	-29%
	ID-SG	1.12	1.08	1.13	1.02	1.02	1.02	1.01	0.98	1.01	1.01	1.01	1.00	1.02	1.01	-10%		2.07	-51%
	VN-MY	2.46	2.41	2.39	2.32	2.41	2.46	2.24	2.33	2.26	2.24	2.20	2.19	2.23	2.20	-10%		2.45	-10%
	MY-SG	0.39	0.38	0.38	0.19	0.19	0.19	0.19	0.17	0.17	0.15	0.15	0.15	0.16	0.15	-61%	3	2.07	-93%
	Overall	1.70	1.65	1.66	1.58	1.60	1.65	1.70	1.59	1.56	1.64	1.69	1.75	1.78	1.64	-3%	1	3.52	-53%
	Air	2.56	2.33	2.37	2.21	2.43	2.42	2.41	2.29	2.27	2.28	2.26	2.30	2.35	2.32	-10%		/	/
	Trucking	0.39	0.38	0.38	0.19	0.19	0.19	0.19	0.17	0.17	0.15	0.15	0.15	0.16	0.15	-61%		/	/
CPO	**Top 5 lanes**																		2
	ID-MY	1.44	1.44	1.53	1.49	1.59	1.64	1.55	1.52	1.48	1.46	1.47	1.50	1.53	1.51	5%	4	1.60	-6%
	ID-PH	2.06	1.63	1.67	1.64	1.85	1.72	1.62	1.52	1.49	1.47	1.44	1.50	1.53	1.57	-24%		1.57	0%
	ID-SG	1.96	1.88	1.92	1.87	1.84	1.87	1.87	1.84	1.80	1.80	1.78	1.79	1.82	1.84	-6%		2.20	-16%
	VN-MY	1.69	1.64	1.70	1.80	1.89	1.90	1.82	1.85	1.81	1.79	1.80	1.84	1.87	1.81	7%	4	1.60	13%
	MY-SG	1.99	1.79	1.80	1.68	1.60	1.65	1.62	1.63	1.54	1.53	1.52	1.53	1.56	1.62	-18%		2.20	-26%
	Overall	1.94	1.75	1.81	1.75	1.85	1.85	1.80	1.77	1.72	1.70	1.67	1.72	1.75	1.76	-9%	1	1.68	4%
	Air	1.93	1.74	1.82	1.76	1.92	1.91	1.84	1.81	1.76	1.73	1.69	1.75	1.78	1.78	-7%		/	/
	Trucking	1.99	1.79	1.80	1.68	1.60	1.65	1.62	1.63	1.54	1.53	1.52	1.53	1.56	1.62	-18%		/	/

Highlights:

1. YoY LH+CC/kg and CPO has reduced by 3% (air -10% while trucking -61%, however trucking % dropped 10% to overall due to increase vol from non MYSG) and 9% respectively.
2. LH+CC/kg is better than CN in MY/PH/SG. CPO is worse than CN in IDMY, IDPH, VNMY mainly due to SIP avg parcel weight is 3x heavier than CN (0.44kg vs 0.17kg).
3. MYSG LH cost reduced by 46% mainly due to a **change in vendor and charging method**. Shifted to FTL charging method since 2H 24, which allows us to reduce cost with maximised truck capacity.
4. ID-MY and VN-MY CPO increase YoY due to the **increase in average parcel weight** resulting in increase of LM and LH cost/pcs.

CS - SG as import market [Dec MTD]: All agent performance metrics met target in L4W; Chat Deflection Rate miss target due to new chatbot rollout; next to focus on Agent CR uplift and Chatbot DR improvement

SG			Dec MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	11 Dec	10 Dec	09 Dec	08 Dec	07 Dec	06 Dec	05 Dec	08 Dec	01 Dec	24 Nov	17 Nov	Dec	Nov	Oct
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	45,549	42,387	43,163
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	116%	-	-	12%	12%	12%	12%	12%	12%	12%	11%	10%	12%	11%	11%
UX	Shop CRR	%	97%	102%	-	-	99%	98%	98%	99%	98%	99%	99%	99%	99%	99%	99%	98%
	Shop CSAT	%	55%	122%	-	-	67%	67%	67%	70%	65%	67%	67%	67%	65%	67%	64%	63%
Agent performance																		
Revenue	Agent Conversion Rate 1	%	13%	136%	15%	18%	18%	18%	18%	17%	18%	17%	18%	18%	17%	18%	18%	18%
UX	Agent CSAT	%	80%	108%	86%	86%	89%	84%	89%	87%	84%	86%	87%	89%	86%	87%	87%	85%
	Agent Avg. Response Time(Sec)	Sec	30	148%	20	20	18	19	19	21	19	19	21	21	21	20	21	21
	Agent Abandonment Rate	%	2%	211%	1%	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	271%	2	2	2	3	2	1	2	2	2	2	1	2	2	2
Cost	Agent Productivity (L1)	%	15	133%	22	21	21	19	20	20	20	21	19	18	17	20	17	18
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	114%	-	-	10%	9%	10%	11%	10%	10%	10%	10%	9%	10%	10%	10%
UX	Chatbot CSAT	%	30%	134%	-	-	37%	43%	38%	46%	40%	40%	40%	42%	41%	40%	37%	35%
	Chat Deflection Rate[Chatbot+F 2	%	35%	96%	-	-	34%	34%	34%	35%	34%	34%	33%	33%	33%	33%	33%	35%

Highlights

1. **Agent Performance:** All metrics met target in L4W; to focus on improving CR via updated upselling SOP and sharing best practices from top agents
2. **Chatbot DR behind target due to low DR from new chatbot**
   - New chatbot adoption: 30% of IDSG shopchat vol; 50% of non-IDSG shop chat vol; adoption % based on agent capacity
   - Next steps to improve DR by enhancing listing quality, and optimizing backend solution - request under evaluation from FPM/Dev

CS - MY as import market [Dec MTD]: All agent performance metrics met target in L4W; Chat Deflection Rate miss target due to new chatbot rollout; next to focus on Agent CR uplift and Chatbot DR improvement

MY			Dec MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	11 Dec	10 Dec	09 Dec	08 Dec	07 Dec	06 Dec	05 Dec	08 Dec	01 Dec	24 Nov	17 Nov	Dec	Nov	Oct
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	80,746	77,988	80,060
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	103%	-	-	10%	11%	11%	10%	11%	10%	11%	11%	10%	11%	11%	10%
UX	Shop CRR	%	97%	101%	-	-	99%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%
	Shop CSAT	%	55%	127%	-	-	68%	71%	68%	71%	69%	69%	70%	70%	66%	70%	68%	63%
Agent performance																		
Revenue	Agent Conversion Rate 1	%	13%	135%	16%	16%	17%	18%	18%	17%	18%	17%	18%	17%	17%	18%	17%	16%
UX	Agent CSAT	%	80%	109%	88%	85%	84%	89%	89%	87%	87%	87%	88%	87%	86%	87%	87%	88%
	Agent Avg. Response Time(Sec)	Sec	30	139%	22	20	23	22	21	21	21	22	21	22	22	22	22	21
	Agent Abandonment Rate	%	2%	245%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	298%	2	2	1	1	2	1	2	1	2	2	2	2	3	5
Cost	Agent Productivity (L1)	%	15	122%	20	19	18	19	18	17	18	19	18	18	18	18	19	16
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	103%	-	-	9%	9%	9%	8%	9%	9%	9%	9%	8%	9%	9%	9%
UX	Chatbot CSAT	%	30%	167%	-	-	47%	51%	48%	52%	49%	49%	50%	51%	45%	50%	47%	40%
	Chat Deflection Rate[Chatbot+F/ 2	%	45%	92%	-	-	40%	42%	43%	42%	41%	41%	42%	41%	43%	41%	43%	53%

Highlights

1. **Agent Performance:** All metrics met target in L4W; to focus on improving CR via updated upselling SOP and sharing best practices from top agents
2. **Chatbot DR behind target due to low DR from new chatbot**
   - New chatbot adoption: 30% of IDMY shopchat vol; 50% of non-IDMY shop chat vol; adoption % based on agent capacity
   - Next steps to improve DR by enhancing listing quality, and optimizing backend solution - request under evaluation from FPM/Dev

CS - PH as import market [Dec MTD]: All agent performance metrics met target in L4W; next to focus on 1. Chatbot Conversion and DR improvement; 2. Agent Conversion Rate and CSAT improvement

PH				Dec MTD		L7D							Weekly				Monthly		
Function	Metric		Unit	Target	RR	11 Dec	10 Dec	09 Dec	08 Dec	07 Dec	06 Dec	05 Dec	08 Dec	01 Dec	24 Nov	17 Nov	Dec	Nov	Oct
Order	ADO		#	-	-	-	-	-	-	-	-	-	-	-	-	-	64,365	62,239	61,660
Overall																			
Revenue	Chatbot+Agent conversion	2	%	9%	100%	-	-	8%	8%	9%	9%	9%	8%	9%	9%	9%	9%	9%	9%
UX	Shop CRR		%	97%	101%	-	-	98%	97%	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%
	Shop CSAT		%	55%	107%	-	-	58%	62%	59%	60%	60%	59%	59%	58%	58%	59%	58%	56%
Agent performance																			
Revenue	Agent Conversion Rate	1	%	13%	113%	13%	13%	15%	14%	15%	16%	16%	13%	16%	15%	15%	15%	15%	13%
UX	Agent CSAT		%	80%	106%	84%	83%	85%	87%	87%	86%	87%	85%	85%	84%	84%	85%	84%	83%
	Agent Avg. Response Time(Sec)		Sec	30	181%	17	16	17	16	15	18	16	17	17	17	16	17	16	16
	Agent Abandonment Rate		%	2%	199%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)		Min	5.0	170%	2	3	2	4	3	2	5	3	3	3	2	3	3	15
Cost	Agent Productivity (L1)		%	15	133%	20	22	21	20	20	19	20	21	19	19	18	20	19	18
Shopbot Peformnace																			
Revenue	Chatbot Conversion [chatbot+FA	2	%	8%	93%	-	-	7%	6%	7%	7%	8%	7%	8%	7%	7%	7%	7%	8%
UX	Chatbot CSAT		%	30%	136%	-	-	39%	44%	40%	41%	40%	42%	41%	39%	40%	41%	40%	39%
	Chat Deflection Rate[Chatbot+FA	3	%	55%	86%	-	-	48%	47%	47%	46%	48%	47%	48%	47%	49%	48%	50%	57%

Highlights

1. **All agent performance met target in L4W;** agent CR and CSAT meet target but slightly lower than other markets, can be further improved by reinforcing SOP training (in progress)
2. **Shop CR slightly miss target due to low Chatbot CR**
   - Chatbot Conversion Rate in PH is generally lower than other markets, consistent with patterns observed in other business lines; Next to implement SIP listing quality improvement and monitor its impact on chatbot CR and DR
3. **Chatbot DR behind target due to low DR from new chatbot**
   - New chatbot adoption: 30% of IDPH shopchat vol; 50% of non-IDPH shop chat vol; adoption % based on agent capacity
   - Next steps to improve DR by enhancing listing quality, and optimizing backend solution - request under evaluation from FPM/Dev

System/Product: Key system launches in Dec-Jan: 1) Direct Selling Payment Solution Phase 2-Direct Balance 2) Automate SIP Dummy Wallet Top-up Process

#	Biz ETA	Confirmed ETA	Feature Name	P	Description	Status	Pipeline Submitted	OKR	Highlights
1	Q2 2025	TBC	SIP set regional discount	P1	Regional discount phase 2 to support SIP set. Projected ADO uplift of ~4.5k, annual incremental GMV USD 17.5M	On-hold	Q1 2025	Growth	
2	Q4 2024	Jul 2025	Local SIP X Resell	P1	To onboard Local SIP to CB Resell biz model	Released	Q3 2024	Growth	
3	Q2 2025	TBC	Indicate Prim SKU Info in Affi Order Detailed Page	P1	Show Prim SKU info in Affi order details to help sellers match products accurately and avoid fulfillment mistakes	PRD	Q2 2025	Growth	
4	Q2 2025	TBC	Use Lowest Settlement Price for Affi SKUs	P1	If there are multiple MPSKUs under 1 MTSKU, use the lowest settlement price for Affi SKUs to lower down SIP price	FRF	Q2 2025	Growth	
5	Q4 2025	10 Dec	Direct Selling Payment Solution Phase 2-Direct Balance	P1	Build a separate wallet for direct shop	To Release	Q4 2025	Growth	Feature deployment is completed, live test is undergoing
6	Q3 2025	TBC	Support Ops Open Direct Shop in BDC	P1	Support ops to open direct shop for sellers in BDC without seller confirmation	UAT	Q3 2025	Growth	Under UAT, target to live by 18 Dec
7	Q3 2025	TBC	Sync Listing Limit from Local to Direct	P1	Sync listing limit from main shop to direct shop to improve sku migration rate	Lived	Q3 2025	Growth	
8	Q3 2025	TBC	Direct Sell Chat Improvement	P1	Improvements for supporting seller check My Inquiry tab and other minor UI/UX	Dev	Q3 2025	Growth	
9	Q3 2025	TBC	Price Calculator for Direct Sell	P1	Improve the price display in seller center for better seller experience	FRF	Q3 2025	Growth	
10	Q3 2025	TBC	Support direct sell on seller App	P1	Support the MVP version direct selling feature on seller App	DEV	Q4 2025	Seller UX	PRD finalized, target to live by end of Jan.
11	Q4 2025	TBC	Auto update weight for TW direct sell/SIP	P1	Auto update weight for TW direct sell/SIP to improve the listing migration rate	FRF	Q4 2025	Growth	
12	Q4 2025	TBC	Improve Seller Fulfilment Awareness for Direct Shop Orders	P1	Support notice banner/merchant level order list in My Orders for direct sellers to improve NFR performance	PRD	Q4 2025	Seller UX	Under PRD, live ETA mid Jan.
13	Q2 2025	TBC	Direct offboard and SIP rejoin	P1	1) Support Direct shop offboard; 2) Allow seller to rejoin SIP after previous offboarding	PRD	Q2 2025	User Experience	Internal teams PM review ETA 12/Dec, to get overall timeline tentative by end-Dec
14	May 2025	Q3 2025	SIP Listing auto-resync failed cases and reason code enhancement	P1	Review and optimize existing list of listing resync fail reasons and to automate listing auto-resync based on reason code	Dev	Q2 2025	Growth	
15	Jun 2025	9/Oct	Automate SIP Dummy Wallet Top-up Process	P1	Automate local SIP dummy buyer adjustment process, eliminating manual top-up and human error risks	Go-live	Q2 2025	User Experience	Rollout to ID by greyscale from 15-29/Dec, other regions to start after ID.
16	Q1 2026	TBC	Enable KRSIP for KRCB	P1	Support KRCB sellers to onboard CB SIP	FRF	Nov 2025	Growth	
17	TBC	TBC	CBSIP Price Calculation Revamp	P1	Enable region transaction fee used in SIP Item Price and ASKU price	FRF	-	User Experience	
18	TBC	TBC	SIP model-level weight/dimension	P1	Support model-level weight/dimension for SIP pricing logic	FRF	Oct 2025	Cost Reduction	To combine biz impact with model-level initiatives (e.g. automating hidden fee calculation using TWS model-level weight)
19	Aug 2025	24/Sep	Force update P order to cancelled	P0	To avoid fraud, force update P order to be cancelled when A order is cancelled by buyer	Releasing	Aug 2025	Cost Reduction	UAT ongoing 10Dec - 17Dec.
20	Aug	Nov	Local SIP P price selection logic enhancement	P1	Improve legacy SIP P price selection logic for P order settlement where SIP A order is placed using A-site promo	On-hold	Aug 2025	Cost Reduction	
21	Q1 2026	TBC	Support CB sellers new A sites: KH/LA/MM	P1	To support CB & CNSIP new lane expansion to AME buyer markets in Cambodia (KH) ,Laos (LA) and Myanmar (MM)	PRD	Sep 2025	Growth	
22	Q1 2026	TBC	AME phase 2 - P seller to chat with A buyer directly	P1	Allow Local SIP P seller to chat with A site buyer directly to reduce reliance on SIP chat agents	FRF	-	Cost Reduction	
23	TBC	TBC	DD/LPP P price sync to A	P1	Allow sync of DD/LPP promo types to SIP A SKUs for better price competitiveness	FRF	Oct 2025	Growth	
24	TBC	TBC	Allow usage of Webform function in SIP portal	P1	Standardize the Technical Redirection of all Seller Order Inquiry Google Forms to the Centralized SID Portal	FRF	Nov 2025	Cost Reduction	
25	TBC	TBC	Automatic escrow cancellation for SIP intercepted parcels	P1	Automatically cancel A order and prevent seller escrow when SIP parcel is intercepted. ID TWS/IDSIP team currently performs mass RRs to stop ID seller escrow for intercepted parcels, which is prone to manual errors.	FRF	Nov 2025	Cost Reduction	Development planned for ~Feb '26.

FY26 Plan

FY25 performance: 194k ADO, +59% YoY; $40.8M total P&L to SHP, +$11.5M YoY; growth in all 4 regional export/cross-selling programs

SIP performance and projection FY24 and FY25

			Overall			Local SIP			CNSIP			Direct Selling			WH Cross Selling		
			FY24	FY25	YoY	FY24	FY25	YoY	FY24	FY25	YoY	FY24	FY25	YoY	FY24	FY25	YoY
Topline		ADO	121,677	193,548	59%	91,354	151,603	66%	24,459	25,919	6%	2,668	9,981	274%	3,196	6,045	89%
		ADO% to CB	4.3%	6.4%	2.1%	3.2%	5.0%	1.8%	0.9%	0.9%	0.0%	0.1%	0.3%	0.2%	0.1%	0.2%	0.1%
		ADGMV	$1,254 K	$1,969 K	57%	$1,003 K	$1,574 K	57%	$200 K	$217 K	9%	$31 K	$138 K	350%	$21 K	$39 K	88%
		ADGMV% to CB	6.0%	8.3%	2.3%	4.8%	6.7%	1.9%	1.0%	0.9%	0.0%	0.1%	0.6%	0.4%	0.1%	0.2%	0.1%
		ABS	$10.31	$10.17	-$0.13	$10.98	$10.39	-$0.59	$8.16	$8.38	$0.22	$11.53	$13.87	$2.34	$6.48	$6.44	-$0.03
P&L	I: MP	Revenue Take Rate	$73,007 K	$122,092 K	$49,085 K	$60,231 K	$103,155 K	$42,924 K	$10,812 K	$10,052 K	-$760 K	$1,458 K	$6,622 K	$5,164 K	$506 K	$2,263 K	$1,757 K
		PRM + GTF	$51,403 K	-$95,335 K	-$43,932 K	-$39,809 K	-$77,099 K	-$37,291 K	-$8,549 K	-$9,572 K	-$1,023 K	-$2,602 K	-$6,518 K	-$3,916 K	-$443 K	-$2,146 K	-$1,703 K
		MP PC2 [1]	$21,601 K	$26,894 K	$5,293 K	$20,423 K	$26,056 K	$5,633 K	$2,262 K	$480 K	-$1,783 K	-$1,144 K	$104 K	$1,249 K	$61 K	$254 K	$194 K
	II: SLS	SLS PnL [2]	$14,383 K	$13,411 K	-$972 K	$8,805 K	$7,862 K	-$943 K	$5,554 K	$6,469 K	$915 K	$2 K	-$367 K	-$369 K	$23 K	-$553 K	-$575 K
	III: Standalone	Seller P&L [3]	-$6,668 K	$485 K	$7,154 K	-$6,634 K	$1,091 K	$7,726 K	-$34 K	-$606 K	-$572 K	/	/	/	/	/	/
	Combined P&L [1+2+3]		$29,316 K	$40,791 K	$11,474 K	$22,594 K	$35,009 K	$12,416 K	$7,782 K	$6,343 K	-$1,439 K	-$1,142 K	-$263 K	$880 K	$83 K	-$299 K	-$382 K

FY25 highlights

- **ADO/ADG** 59%/57% YoY growth, %CB +2.1/+2.3pp, mainly driven by
  >> SIP: improved SKU migration system, optimized marketing ROI
  >> Direct selling/WH cross selling: unlocked more lanes/WH segments/sellers
- **Seller/standalone P&L** (without big seller discount) $0.1M, +$3.9M YoY, hitting FY25 OKR target of seller P&L breakeven
- **Total PC2 (standalone+MP+SLS)** $40M, +11.5M YoY, mainly driven by 1) higher platform TR from topline growth and 2) rectify seller standalone P&L to be breakeven

[Back-up] Cross-selling network: 55 cross-selling lanes SIP+Direct selling combined; YoY +111% export SKUs, +36% ADO-generating SKUs; +58% ADO, +52% ADG; continue coverage expansion in FY25/26

Export market	# export lanes	# active sellers			# live SKUs			ADO			ADG			# performing SKUs		
		Nov-24	Nov-25	YoY	Nov-24	Nov-25	YoY	Nov-24	Nov-25	YoY	Nov-24	Nov-25	YoY	Nov-24	Nov-25	YoY
ID	12	1,291,475	1,326,770	3%	50.1M	71.1M	42%	74,820	118,161	58%	665,706	937,976	41%	559,554	720,564	29%
VN	9	491,394	453,427	-8%	19.9M	15.4M	-23%	18,958	24,299	28%	205,935	273,561	33%	178,642	208,102	16%
MY	6	113,290	168,126	48%	2.3M	5.9M	157%	23,055	37,861	64%	303,844	504,315	66%	263,182	317,284	21%
TH	6	276,182	254,034	-8%	9.8M	10.3M	5%	4,604	10,512	128%	73,882	145,551	97%	61,367	127,833	108%
PH	2	88,174	91,337	4%	4.5M	3.5M	-21%	1,605	3,336	108%	27,612	49,143	78%	28,601	40,445	41%
SG	5	11,170	23,042	106%	0.6M	1.0M	71%	70	193	173%	3,302	8,796	166%	1,669	3,666	120%
TW	2	28,682	32,363	13%	1.3M	5.5M	311%	799	1,430	79%	22,443	37,906	69%	15,480	27,993	81%
BR	3	0	32,745	/	0.0M	1.7M	/	0	63	/	0	735	/	0	987	/
CN	10	180,302	506,296	181%	16.6M	107.3M	546%	20,084	31,599	57%	169,388	285,329	68%	201,001	332,569	65%
Total	**55**	**2,480,669**	**2,888,140**	**16%**	**105.2M**	**221.7M**	**111%**	**143,996**	**227,454**	**58%**	**1,472,111**	**2,243,310**	**52%**	**1,309,496**	**1,779,443**	**36%**

Highlights

- **Seller & SKU growth**: active sellers **+16% YoY**, live SKUs **+111% YoY** driven by 1) SKU migration efficiency improvement 2) revamped CNSIP seller acquisition
- **SKU effi growth**: performing SKUs **+36% YoY**; ADO **+58% YoY**; ADG **+52% YoY**, driven by 1) lower price (non-performing SKU price cut, SLS rate reduction), 2) higher marketing ROI (new SKU incubation, ads optimization automation, new traffic sources like AMS, video, seller programs)
- **Continued to expand export coverage in FY25 and FY26**
  - FY25: launched SGSIP export (SG>MY/TH/PH), BRSIP export (BR>MX/CL/CO), ID/VN/MY/TH direct selling
  - FY26: to launch KH/MM/LA/BN import from VN/TH/CN/ID, explore ID/TH>VN import, launch PH/TW direct selling

FY25 growth drivers (1/2): Strengthened SIP business fundamentals across acquisition, marketing, logistics, operations, and P&L management

	Pillar	Key initiatives delivered (1-3 P0/P1 initiatives)	Impact
Grow SKU supply	Improve seller acquisition	• Drove higher seller acquisition through **improved pitching and seller education** • **Improved seller settlement price accuracy** by revamping product logic	+5K ADO
	Improve SKU supply	• **Revised SKU onboarding criteria** to improve SKU quality • **Improved SKU migration** by fixing system/data gaps and removing ops limitations	+15K ADO
Improve SKU eff	Improve price comp	• **Removed marketing markup** for non-performing SKUs • **Pushed price reduction** from top sellers • Participated in **CSPU price bidding** for lowest price	+31K ADO
	Improve marketing ROI	• Optimized **ads spending based on SKU lifecycle** • Targeted SKUs push based on **platform trendy keywords** • **Diversified content initiatives** (video, livestream, AMS) to drive exposure	+26K ADO
Shorter shipping time/cost	Reduce BWT / shipping CPO	• Optimized **first-mile logistics and warehouse locations** to shorten lead time • Opened **new direct ingestion ports** to reduce line-haul and last-mile lead time • Reconfigured ops and flight schedules to **minimize handover delays and offloads**	BWT -10% YoY Shipping CPO -3% YoY
Better user experience	Improve buyer chats	• **Consolidated shop chat agents to PH**, improved SOP • **Rolled out new chatbot** to drive up chatbot CSAT	CSAT +8%
	Tighten scam/fraud management	• **Reduced SIP daily fraud loss** from 0.54% to 0.018% via loophole fixes, escrow extension and ops BAU Implementation	Fraud loss -0.5%

FY25 growth drivers (2/2): Expanded Shopee supply chain network and resilience via SIP network expansion, new business model launch, and deeper government relations

	Pillar	Key initiatives (focus on launch, growth, unique value)	Impact
Expand SIP Network	AR (Dino)	• Launched **CN-AR SIP**, **BR-AR SIP** for AR market entry	+11M SKUs + 660 ADO
	Other SIP lanes	• Launched **SG-MY/TH/PH SIP**, **BR-MX/CO/CL SIP**	+3M SKU + 300 ADO
Unlock new assortment / biz potential	Swarm	• New business model to acquire **Taobao sellers and SKUs** via ERP migration and dropshipping agents • Incubated high potential shops to accelerate scale	+33K shops +6K ADO (4 months post launch)
	Direct selling	• New business model for sellers to fully control overseas shop operations • Scaled to **15 lanes covering 5 export markets: ID, VN, TH, MY, SG** • Built seller center features and payment flows to streamline CB operations	+88K shops +18K ADO
	WH cross-selling	• Launched **CB FBS x SIP, local FBS x SIP** models for MYSG lane • Unlocked all MYWH assortment to supply to SG	+3K SKUs +5x of SKU effi vs. SIP
Strengthen GR/PR	Export market GR/PR	• Regional: Featured export programs in SHP 10th Anniversary Impact Report • SG: **EnterpriseSG** partnership, media day for SGSIP/Direct launch • MY: **SHP Rai Lokal** media day, **Martrade** seller summit • TH: **DITP** program, **DIPROM** Smart Start • PH: **Tatak Pinoy** MSME Roadshow, Tatak Pinoy Open House • VN: **VN Gov x SHP MOU**, live demo to VN govt officials • ID: **SMESCO** x SHP Export, **MoT** x Direct Selling Kick-off, SHP Super Summit	Strengthen relationship between Shopee and local market government

FY26 focus: Align growth closely with platform strategic priorities - 1) strengthen and scale with AI/automation; 2) expand supply chain network; 3) scale new biz models to enhance supply chain resilience

	Pillar	Key initiatives	Impact by Dec 26
Strengthen biz fundamental	Align to platform strategic growth	• **Align growth push with platform strategies** (e.g., counter competitors, focused categories push) in more import markets (PH, TH)	+4K ADO
	Improve marketing efficiency with AI/ML/automation	• Improve marketing ROI through **ML-driven shop and SKU curation** • **Scale proven marketing initiatives** through automation • **Enhance shop and listing quality** with AI tools	+21K ADO Marketing ROI +20%
	Improve buyer experience	• Clean up high NFR sellers • Tighten shop/SKU onboarding criteria • Improve buyer experience across key customer touchpoints	NFR -0.5%
Expand SIP network	AME x SIP	• Expand into 4 AME markets **(Cambodia, Myanmar, Laos, Brunei)**	+7K ADO
	SIP>VN	• Expand Into **Vietnam**	+4K ADO **Deep dive**
	KRSIP	• Use SIP model to help **KRCB sellers X SIP** to sell in more markets	+3K ADO
Scale new biz model	Swarm	• Grow assortment from **Taobao sellers** • Drive high potential shop with **new incubation programs**	+39K ADO
	Direct	• **Scale up SKU acquisition and SKU effi growth** across lanes	+41K ADO
	WH cross-selling	• Evaluate potential from regional scale up of **local FBS cross-selling**	+26K ADO
Explore new biz ideas	NSS	• Provide CB logistics service to non-Shopee customers	Proof of concept and topline/profit potential, launch in 1-2 export markets
	Ads service	• Provide ads service to direct sellers and new market SIP sellers who are not familiar with cross-border business	
	SIP x LFF	• Evaluate potential of running LFF model for SIP assortment	

1. Quality/efficiency improvement: Focus on automation and AI tools to scale up effective growth initiatives in FY25 and improve marketing intelligence for higher ROI

Type	Initiative	Model	Description purpose	Impact	ETA
Assortment	**Trendy SKU sourcing automation**	Automation	**Automate trendy SKU sourcing and marketing push** based on platform trendy keywords refreshed on weekly basis	ADO + 7.4K	Q3 FY26
Pricing	**Price elasticity automation**	Automation	**Auto adjust SKU price monthly** to maximize SKU level profitability	ADO + 7.4K	Q1 FY26
	Price bidding automation	Automation	**Automate price bidding** to increase price bidding coverage for SIP	ADO + 3.7K	Q1 FY26
Listing	**Listing title optimization**	LLM	**Auto add trendy keywords on listing title** using LLM to improve SKU discoverability	Search traffic +5%	Q1 FY26
	Listing image and size chart optimization	AI	**Optimize image quality and size chart** with AI tools	CTR +10%	Q3 FY26
Marketing	**Ads SKU Machine learning model**	AI, ML	**Develop a SKU curation algorithm** to guide incubation ads investment to improve budget ROI	Ads ROI +20%	Q2 FY26
	Ads graduation model	Automation	**Automate removal of ads from mature SKUs** to save ads budget and reduce manual work	HC saving 20 hrs/week	Q2 FY26

2. Better buyer experience: Improve buyer experience by identifying quick wins actions & long term planning

	Awareness	Consideration	Purchase	Fulfilment	Retention
Touch point	Social media, Ads, Shopee recommend, Shop followers	Chat, size chart, review, ratings	Add to cart, select logistic channels, payment	accepts package, confirm receipt in app	Chat notification, shop membership, new arrival alerts
Pain point	• Niche user group (muslim, philippion in other markets, etc) unaware of SIP products • Shopee recommend less SIP products	• Chat coverage is low • Limited upselling • Size chart/Product image is missing or in bad quality/foreign language	• Lower checkout% vs other CB sellers	• Higher NFR in some markets than CNCB/local sellers	• Retention rate lower than other CB BU (TBC)
Root cause	• Lack of publicity or marketing channels for SIP to niche user group • Didn't push shop followers	• CS headcount limited • Parent seller product information missing	• No limited time incentives for uncheckout items	• Local SIP: Parent market NFR higher • CNSIP: Wrong item weight input leading to lower settlement price	• Existing buyers unaware of shop updates
Improvement Plan	• KOL publicity to niche market • Shop follower voucher trials	• Focus CS resource to high conversion shops • Improve SOP for upselling • AI aided image and translation	• Limited time voucher for buyer cart	• Local SIP: Cleanup high NFR shops after aligning with platform • CNSIP: Cleanup high NFR shop and correct settlement price logic	• Send notification of new arrival, limited time promotion for shop followers or existing buyers
Measurement	ADO uplift Shop followers #	Chat fulfillment rate Chat conversion rate CTR	ADO uplift	NFR	ADO uplift
Timeline	Q1 2024	Q3 2024	Q2 2024	Q1 2024	Q2 2024

3. Network Expansion: Expand cross-selling coverage with 1) 4 AME emerging markets; 2) launch KRSIP; 3) re-enter VN mature markets; 4) complete direct selling lane roll-out in FY26

Color legend: green: in place; yellow: planned in FY26

		Import market												
Export market	Model	SG	MY	PH	TH	VN	BN	KH	LA	MM	TW	BR	MX	AR
CN	SIP													
	Direct													
KR	SIP													
	Direct													
ID	SIP													
	Direct													
VN	SIP													
	Direct													
TH	SIP													
	Direct													
MY	SIP													
	Direct													
SG	SIP													
	Direct													
PH	SIP													
	Direct													
TW	SIP													
	Direct													
BR	SIP													
	Direct													

Highlights

1/ AME market entry (Brunei - BN, Cambodia - KH, Laos - LA, Myanmar - MM), 7k ADO by Dec-26

[P0, Q1-26] MY-BN, VN-KH, TH-LA, TH-MM

[P1, Q1-26] CNSIP, local SIP

[P1, Q2-26] CN/KR/JP MP, Direct selling

2/ KRSIP launch [Q2-26], 3k ADO by Dec-26

3/ Local SIP (ID, TH, MY) into VN [Q2-26], 4k ADO by Dec-26

4/ Direct selling remaining lanes launch [Q1-26], 3k ADO by Dec-26

[Jan-26] IDTW, VNTW, SGPH, PHMY, PHSG

[Feb-26] TWMY, TWSG

FY26 projection: 269k ADO, +39% YoY; $70.5M total P&L to SHP, +$29.7M total P&L YoY, across 4 regional cross-selling programs

SIP performance and projection FY25 and FY26

			Overall			Local SIP			CNSIP			Direct Selling			WH Cross Selling		
			FY25	FY26	YoY	FY25	FY26	YoY	FY25	FY26	YoY	FY25	FY26	YoY	FY25	FY26	YoY
Topline		ADO	193,548	269,834	39%	151,603	159,976	6%	25,919	57,117	120%	9,981	42,692	328%	6,045	10,049	66%
		ADO% to CB	6.4%	7.9%	1.4%	5.0%	4.7%	-0.4%	0.9%	1.7%	0.8%	0.3%	1.2%	0.9%	0.2%	0.3%	0.1%
		ADGMV	$1,969 K	$3,005 K	53%	1,574,430	$1,629 K	3%	$217 K	$604 K	178%	$138 K	$707 K	411%	$39 K	$65 K	66%
		ADGMV% to CB	8.3%	10.5%	2.2%	6.7%	5.7%	-1.0%	0.9%	2.1%	1.2%	0.6%	2.5%	1.9%	0.2%	0.2%	0.1%
		ABS	$10.17	$11.14	$0.97	$10.39	$10.18	-$0.20	$8.38	$10.58	$2.21	$13.87	$16.56	$2.69	$6.44	$6.44	$0.00
P&L	I: MP	Revenue Take Rate	$122,092 K	$162,566 K	$40,474 K	$103,155 K	$110,575 K	$7,419 K	$10,052 K	$11,950 K	$1,898 K	$6,622 K	$36,280 K	$29,658 K	$2,263 K	$3,762 K	$1,499 K
		PRM + GTF	-$95,335 K	-$125,701 K	-$30,366 K	-$77,099 K	-$78,870 K	-$1,771 K	-$9,572 K	-$13,626 K	-$4,054 K	-$6,518 K	-$29,638 K	-$23,121 K	-$2,146 K	-$3,567 K	-$1,421 K
		MP PC2 [1]	$26,894 K	$37,093 K	$10,199 K	$26,056 K	$31,704 K	$5,648 K	$480 K	-$1,676 K	-$2,156 K	$104 K	$6,642 K	$6,538 K	$254 K	$423 K	$168 K
	II: SLS	SLS PnL [2]	$13,411 K	$14,375 K	$964 K	$7,862 K	$6,836 K	-$1,026 K	$6,469 K	$6,055 K	-$414 K	-$367 K	$2,402 K	$2,769 K	-$553 K	-$919 K	-$366 K
	III: Standalone	Seller P&L [3]	$485 K	$19,055 K	$18,569 K	$1,091 K	$12,504 K	$11,413 K	-$606 K	$6,550 K	$7,156 K	/	/	/	/	/	/
	Combined P&L [1+2+3]		$40,791 K	$70,522 K	$29,732 K	$35,009 K	$51,045 K	$16,036 K	$6,343 K	$10,929 K	$4,587 K	-$263 K	$9,044 K	$9,307 K	-$299 K	-$496 K	-$198 K

FY26 highlights

- **ADO/ADG** 39%/53% YoY growth, %CB +1./+2.2pp, mainly driven by
  >> SIP: marketing ROI optimization, new markets expansion, Swarm ramp up
  >> Direct selling/WH cross selling: unlocked more lanes/WH segments/sellers
- **Seller/standalone P&L** ***(with big seller discount)*** $19.1M, +$18.6M YoY, before discount standalone P&L is breakeven
- **Total PC2 (standalone+MP+SLS)** $70.5M, +29.7M YoY, mainly driven by 1) higher platform TR and 2) SLS P&L due to overall topline growth
- **Key strategy** 1) expand cross-selling network to drive profitable growth; 2) deepen strategic growth collaborations with import markets

**excludes Taobao ERP project*

Ops cleanup follow-up

Ops cleaning overview: To tighten 1) listing, 2) onboarding criteria, 3) offboarding criteria to minimize outliers with poor performance and high scam risks

#	Problem area	SIP actions taken / proposed	Details	Business Unit	Status
1	**Listing**	Revise price ceiling	1 Lower price ceiling for SIP listings from USD 100 to USD 30-50 (vary by category) to filter out outliers that purposely set high price to scam SIP system	Local SIP	Done
2	**Onboarding**	Tighten SIP onboarding criteria	2 Include "potential risk" tag at account level as additional exclusion criterion from SIP onboarding • Increase order and shop rating threshold	Local SIP/CNSIP/ Direct/Swarm	Done
3	**Offboarding**	Tighten shop offboarding policy for high RR/cancellation/local potential scam sellers	• Tighten SIP high RR policy to remove outlier ○ One-time high RR seller removal ○ Weekly BAU clean-up for high RR sellers	Local SIP	Done
			3 Tighten seller NFR to benchmark local performance ○ Weekly BAU clean-up for high NFR sellers ○ Monthly review the NFR threshold	Local SIP/CNSIP/ Direct/Swarm	Done
			• Assess offboarding sellers if their local shop selle NFR hits a threshold • Assess offboard seller's SIP shops in all markets, if one SIP shop in one market hits offboarding criteria or suspected low quality/fraud	Local SIP	Done
			• Remove IDSIP Scam risk shop	Local SIP	Done

[Local SIP] Overall business impact: SIP team tightened 1) listing, 2) seller onboarding, 3) offboarding criteria to minimize outliers with poor performance and high scam risks; Overall impact to SIP 3.4% ADO, 5.8% GMV

As of local SIP Oct performance data

Import markets	Listing price ceiling		Tighten onboarding criteria		Tighten Offboarding criteria		ID scam seller exclusion		Overall Impact		Overall Impact %	
	ADO impact	ADG impact	ADO impact	ADG impact	ADO impact	ADG impact	ADO impact	ADG impact	ADO	ADG	ADO%	ADG %
SG	-288	-24,480	-481	-6,258	-1,516	-19,881	-196	-1,534	-2,481	-52,153	-6.2%	-10.5%
MY	-70	-5,950	-466	-5,587	-452	-5,514	-1332	-7,494	-2,320	-24,545	-2.9%	-3.6%
PH	-102	-8,568	-246	-3,192	-277	-3,682	-449	-2,766	-1,074	-18,208	-2.1%	-4.4%
TH	-3	-252	-105	-1,153	-61	-660	-72	-734	-241	-2,799	-2.9%	-3.3%
TW	0	0	-29	-571	-16	-323	-6	-107	-51	-1,001	-4.3%	-4.4%
AR	0	0	0	-1	-1	-12	0	0	-1	-13	-6.3%	-3.7%
MX	-1	-86	0	-1	-3	-41	-2	-74	-6	-202	-2.8%	-5.6%
Overall	**-464**	**-39,336**	**-1,327**	**-16,763**	**-2,326**	**-30,113**	**-2,057**	**-12,709**	1 **-6,174**	**-98,921**	**-3.4%**	**-5.8%**

Highlights

1 All ops tightening result in an overall business impact to SIP of 6,174 ADO, 98.921 USD ADG (SIP 3.4% ADO, 5.8% GMV), mainly driven by
- Lowered price ceiling to USD 30-50 by category, with the impact of 464 ADO, 39k USD GMV (SIP 0.27% ADO, 2.34% GMV)
- Tighten the onboarding criteria to allow only proven sellers to onboard to SIP, with the impact of 1327 ADO, 16k USD GMV (SIP 0.7% ADO, 1% GMV)
- Tighten SIP Seller NFR, with the impact of 2326 ADO, 30k USD GMV (SIP 1.3% ADO, 1.8% GMV)
- Remove IDSIP potential risk sellers, with the impact of 2057 ADO, 12k USD GMV (SIP 1.2% ADO, 0.7% GMV)

1 Revise price ceiling: Lowered price ceiling to USD 30-50 by category, overall impact to SIP 0.27% ADO, 2.34% GMV

L1 Category	IDSIP			VNSIP			MYSIP			Other SIP			Overall impact to SIP-SG	
	Price ceiling	ADO Impact	GMV Impact	Price ceiling	ADO Impact	GMV Impact	Price ceiling	ADO Impact	GMV Impact	Price ceiling	ADO Impact	GMV Impact	ADO %	GMV%
Motorcycles	40	22	1868	40	3	393	50	41	4224	50	31	4,118	0.06%	0.63%
Baby & Kids Fashion	10	25	1	40	14	363	50	0	2	50	0	0	0.02%	0.02%
Women Clothes	30	2	122	40	3	200	50	1	78	50	1	103	0.00%	0.03%
Home & Living	30	19	935	40	2	231	50	16	1900	50	4	500	0.02%	0.21%
Men Clothes	30	7	365	40	0	11	50	1	46	50	3	246	0.01%	0.04%
Muslim Fashion	20	31	1439	40	0	0	50	0	0	50	0	0	0.02%	0.09%
Sports & Outdoors	40	6	374	50	2	420	50	17	1639	50	7	912	0.02%	0.20%
Women Shoes	30	1	45	40	0	10	50	0	13	50	0	40	0.00%	0.01%
Fashion Accessories	30	1	92	40	0	29	50	1	139	50	1	56	0.00%	0.02%
Hobbies&Collections	40	7	675	-	-	-	-	-	-	50	0	0	0.00%	0.04%
Beauty	20	1	129	40	2	191	50	10	1007	50	2	168	0.01%	0.09%
Mobile & Gadgets	30	0	28	40	0	4	50	5	459	50	0	18	0.00%	0.03%
Men Shoes	30	8	418	40	1	52	50	1	91	50	1	71	0.01%	0.04%
Automobiles	40	7	536	50	1	96	50	13	1461	50	19	2,166	0.02%	0.25%
Women Bags	30	1	76	50	0	12	50	0	11	50	1	118	0.00%	0.01%
Mom & Baby	40	4	304	50	2	315	50	5	468	50	2	196	0.01%	0.08%
Food & Beverages	20	1	150	40	0	34	50	8	738	50	0	0	0.01%	0.05%
Men Bags	30	1	68	50	0	4	50	0	39	50	0	0	0.00%	0.01%
Others	30	30	546	45	7	888	50	46	5,177	50	15	1705	0.06%	0.50%
1 **Total**	**30**	**175**	**8,172**	**40**	**37**	**3,254**	**50**	**166**	**17,493**	**50**	**87**	**10,417**	2 **0.27%**	**2.34%**

Highlights

- **Assessment**
  - **Lower IDSIP/VNSIP/MYSIP price ceilings to USD 30/40/50 based on category differences, enabling the exclusion of high-priced outliers**
  - Allow higher price floor for categories in higher ASP range by category nature
  - Locally Managed/Mall sellers to lift pricing ceiling given their low fraud risk and high traceability
- **Findings**
  - **95% of total IDSIP/VNSIP GMV** is generated by SKUs with average **local ASP of USD30/40 and below** across categories
  - **Higher price cut-offs of USD 40-50** to be applied to certain categories based on their 95th percentile GMV performance
  - **USD 40 categories**: Motorcycles, Sports & Outdoors, Hobbies Collections, Automobiles, Mom & Baby
  - **USD 50 categories**: Home Appliances, Computers & Accessories, Audio Cameras & Drones,Gaming & Consoles
- **Actions taken**
  - Lower the IDSIP/VNSIP/MYSIP price ceiling to USD 30/40/50
  - Unlist all SKUs that exceed the ceiling
- **Next steps**
  - Monitor the ADO/GMV impact after price ceiling set up
  - Re-evaluate price ceiling eligibility criteria on a quarterly basis.

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[local SIP]Tighten Onboarding Criteria: Allow only proven sellers with strong orders, ratings, and ops performance to onboard to SIP; overall impact to SIP 0.7% ADO, 1% GMV

Biz Unit		Before	After (for all import market)	After (for SG only)	Assessment
SIP	Local SIP	L30D completed order >=1 AND L90D CR <=3% AND L90D RR <=1% (for ID export only)	L30D completed order >=3 AND L90D CR <=3% AND L90D RR <=1%	Can only open SG shop if other overseas shop meet following: L30D completed order >=3 AND L30D seller fault CR <=3% AND L30D seller fault RR <=1%	Benchmark to CNCB
	CNSIP	L30D ADO>0 L30D CR<=5%	-	Follow CNCB new criteria SLS: ADO >1 across GGP AND L30D = 0 cancelled orders	Benchmark to CNCB
Direct	MYCB	Follow Local SIP onboarding criteria		-	Benchmark to CNCB
	ID/VN/TH/PH/TW CB	Follow Local SIP onboarding criteria			Benchmark to CNCB
Swarm		Pass KYC	-	Follow CNCB new criteria SLS: ADO >1 across GGP AND L30D = 0 cancelled orders	Benchmark to CNCB

3 Tighten SIP Seller NFR: To narrow the gap with local sellers and minimize outliners, SIP will 1) cleanup for sellers with 2wks high NFR, 2) monthly review the current penalty scheme; Overall impact to SIP overall 1.3% ADO, 1.8% GMV

	platform cleanup policy	+ SIP additional policy
Proposed Initiative	**Freeze SIP shop if meet criteria 1 AND 2:** ● Criteria 1: sellers who have at least 2 weeks of >20% NFR in last 4 weeks ● Criteria 2: seller has L90D NFR > 20% Monthly review SIP NFR thresholds and penalty points to see if there is need to tighten	**Freeze SIP shop if local shop in export market meet criteria 1 AND 2:** ● Criteria 1: local sellers who have at least 2 weeks of >20% NFR in last 4 weeks ● Criteria 2: seller has L90D NFR > 20% Monthly review local shop NFR thresholds and penalty points to see if there is need to tighten
Impact 1	2,049 total sellers to be frozen with 2,157 ADO, 28,099 USD GMV (SIP 1.2% ADO, 1.7% GMV)	6,115 total sellers to be frozen with 169 ADO, 2,014 USD GMV (SIP 0.1% ADO, 0.1% GMV)
Frequency	Weekly Clean Up & Monthly review NFR threshold	

Highlights

- To address higher SIP NFR and benchmark to local performance, SIP to follow SG high NFR clean up policy to do weekly clean up on high NFR >20%; On top of platform policy, SIP will freeze SIP shops if there local shops has 2 weeks high NFR performance

1 **Overall impact to SIP to freeze 8,164 shops with 2,326 ADO, 30,113 USD GMV (SIP 1.3% ADO,1.8% GMV)**

AME launch

Launch timeline summary: Jan-26 P0 launches 1) BN: MY local / CNSIP / CNCB shops on MY platform to enable fulfillment to BN; 2) Cambodia: VN-KH SIP; 3) Laos: TH-LA SIP

Import market	Business Unit	Target launch timeline		Jan	Feb	Mar	Apr	May	Jun	Jul
Brunei (BN)	MY app (1FE1BE)	Jan-26	P0	MYBN						
	Local SIP	Feb-26			IDBN	VNBN	THBN	PHBN		
	CNSIP	Jan-26		CNSIP-BN						
	Local Direct	Feb-26			IDBN					
	CB Direct	Jan-26		CNBN	KR/JP-BN					
Cambodia (KH)	Local SIP	Jan-26	P0	VNKH		IDKH				
	CNSIP	Mar-26				CNSIP-KH				
	Local Direct	Jun-26							VNKH	IDKH
	CB Direct*	Jun-26							Pending further local assessment	
Laos (LA)	Local SIP	Jan-26	P0	THLA		VNLA				
	CNSIP	Mar-26				CNSIP-LA				
	Local Direct	Jun-26							THLA	VNLA
	CB Direct*	Jun-26							Pending further local assessment	
Myanmar (MM)	Local SIP	Q2					MM border closed; HQ legal re-assess political risk of entering MM			
	CNSIP	Q2								
	Local Direct	Q3								
	CB Direct	Q3								

Highlights

Brunei
[P0] MY local / CNSIP / CN Direct: Jan-26
[P1] ID-BN SIP / ID-BN Direct: Jan/Feb-26, pending legal review
[P1] KRJP Direct: Feb-26 tentative; MY PMO + MYCB + KRJP team to finalize plan
[P2] Other local SIP / local Direct: Mar-May

Cambodia & Laos
[P0] VN-Cambodia / TH-Laos: Jan-26
[P1] CNSIP / ID-KH SIP: Mar-26 (2 months later than P0 due to legal review capacity constraints)
[P2] CB Direct / Local Direct: Jun-26 tentative (2-3 months post-SIP stabilization); VN/TH PMO + VN/THCB to finalize plan

Myanmar
Timeline on hold pending HQ Legal's reassessment of political risk for MM entry

[Backup] Launch progress update by BU and lane

Import market	Business Unit	Update
Brunei (BN)	MY local	**MY-BN [Jan-26]**: launch prep in progress; MY PMO leading the launch prep
	Local SIP	**ID-BN [Feb-26]:** launch prep in progress; SIP SLS and product to formulate logistics solution and build logistics channel; legal review TOS
	CNSIP	**CNSIP-BN [Jan-26]:** launch prep in progress; ride on CNCB logistics solution, shop onboarding criteria and legal review; shop onboarding criteria set at ADO>0, NFR<5%; seller comms ETA 15 Dec
	Local Direct	**ID-BN [Feb-26]:** launch prep in progress; SIP SLS and product to formulate logistics solution and build logistics channel; legal review TOS
	CB Direct	**CNCB-BN [Jan-26]:** launch prep in progress; MY PMO + CNCB team leading the launch prep **KRJP-BN [Feb-26 (tentative)]:** MY PMO + MYCB + KRJP team to finalize plan
Cambodia (KH)	Local SIP	**VN-KH [Jan-26]:** launch prep in progress with VN PMO
	CNSIP	**CNSIP-KH [Mar-26]:** in progress of working with CN Monee team to design payment flow and CN SLS team to establish direct shipping from CN to KH. CNKH launch date will be delayed to mid of March (after CNY) ● VN prioritize local payment workflow first. Legal will review CN payment workflow after local solution is clear. ● CN payment need to open HK bank account, lead time is 3 months and pending on above legal review.
	Local Direct	**VN-KH/ID-KH [Jun-26]:** planned, pending further assessment from VN PMO + VNCB on local efforts needed to maintain MP sellers
	CB Direct	**CN/KR/JP-KH [Jun-26]:** planned, pending further assessment from VN PMO + VNCB on local efforts needed to maintain MP sellers
Laos (LA)	Local SIP	**TH-LA [Jan-26]:** launch prep in progress with TH PMO
	CNSIP	**CNSIP-LA [Mar-26]:** in progress of working with CN Monee team to design payment flow and CN SLS team to establish direct shipping from CN to LA. CNLA launch date will be delayed to mid of March (after CNY) ● TH prioritize local payment workflow first. Legal will review CN payment workflow after local solution is clear. ● CN payment need to open HK bank account, lead time is 3 months and pending on above legal review
	Local Direct	**VN-LA/ID-LA [Jun-26]:** planned, pending further assessment from VN PMO + VNCB on local efforts needed to maintain MP sellers
	CB Direct	**CN/KR/JP-LA [Jun-26]:** planned, pending further assessment from VN PMO + VNCB on local efforts needed to maintain MP sellers
Myanmar (MM)	Local SIP	TH-MM lane launch most likely delayed to Q2-26 as MM border is closed, Pending HQ legal re-assess political risk of entering MM
	CNSIP	
	Local Direct	
	CB Direct	

Direct selling

Launch: Launched SG-TH on 15 Dec; target to launch additional 4 lanes in Jan-2026, including TW import and PH export lanes

Color legend: Launched | Planned

Export market	Overseas shop	Target Biz Start Date	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan-26	Feb-26
MY	MYSG	Launched	MYSG									
	MYPH	Launched						MYPH				
	MYTH	Launched						MYTH				
ID	IDMY	Launched			IDMY							
	IDPH	Launched						IDPH				
	IDSG	Launched						IDSG				
	IDTH	Launched							IDTH			
	IDTW	1/19									IDTW	
VN	VNMY	Launched			VNMY							
	VNSG	Launched					VNSG					
	VNPH	Launched					VNPH					
	VNTH	Launched							VNTH			
	VNTW	1/19									VNTW	
TH	THPH	Launched					THPH					
	THMY	Launched							THMY			
	THSG	Launched							THSG			
SG	SGMY	Launched						SGMY				
	SGTH	Launched								SGTH		
PH	PHMY	1/26									PHMY	
	PHSG	1/26									PHSG	
TW	TWMY	2/23										TWMY
	TWSG	2/23										TWSG

We are here

Highlights

16 export lanes opened direct selling option to local sellers from MY/ID/VN/TH/SG;

SGTH launched on 15 Dec, with 828 sellers whitelisted for the 1st batch

Upcoming launch pipeline:
(1) IDTW, VNTW: 19 Jan
(2) PHMY, PHSG: 26 Jan

Target to launch all planned Direct selling lanes by Feb-26

Performance [FY25 overview]: Dec vs Jan-25 growth 19x active sellers, 38x active SKUs, 3x ADO, 4x ADG; total program P&L to Shopee healthy at +$60k per month

		Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Dec-25 vs Jan-25	Dec-26	Dec-26 vs Dec-25
Seller/SKU	Active seller #	4,664	4,904	5,064	5,451	5,177	5,525	6,235	14,559	30,346	50,477	84,782	89,488	19.2x	193,817	2.2x
	Active SKU #	303,600	331,153	349,048	401,806	434,104	488,958	556,663	1,226,891	2,292,505	3,659,458	7,255,740	11,530,649	38x	24,139,357	2.1x
Topline	ADO	6,703	7,679	8,328	8,420	8,990	10,169	11,414	13,625	13,033	15,370	17,577	19,323	2.9x	62,166	3.2x
	ADG ($)	$83,139	$91,307	$101,909	$96,702	$104,491	$111,850	$127,649	$155,583	$160,700	$190,830	$243,834	$295,840	3.6x	$1,054,278	3.6x
	ABS ($)	$12	$12	$12	$11	$12	$11	$11	$11	$12	$12	$14	$15	1.2x	$17	1.1x
Program P&L	MP PC2 ($) [a]	$51,723	$6,934	$16,376	$9,448	-$58,966	-$52,786	$19,220	$22,472	$31,690	-$73,747	$67,454	$63,745	1.2x	/	/
	SLS P&L ($) [b]	-$4,113	-$47,291	-$23,229	-$36,648	-$49,561	-$45,925	-$62,067	-$39,920	-$13,167	-$16,066	-$21,512	-$3,741	0.9x	/	/
	Total P&L ($) [a]+[b]	$47,610	-$40,357	-$6,853	-$27,200	-$108,527	-$98,711	-$42,847	-$17,448	$18,523	-$89,813	$45,942	$60,004	1.3x	/	/
Seller # by import market	SG	4,664	4,904	5,064	5,451	5,177	5,387	5,653	6,538	11,413	18,935	30,749	30,258	6.5x	42,521	1.4x
	MY	0	0	0	0	0	138	582	7,767	14,820	20,690	30,130	36,230	/	76,849	2.1x
	PH	0	0	0	0	0	0	0	254	3,900	10,315	22,005	20,737	/	52,292	2.5x
	TH	0	0	0	0	0	0	0	0	213	537	1,898	2,263	/	22,155	9.8x
ADO by import market	SG	6,703	7,679	8,328	8,420	8,990	10,166	11,360	13,066	12,050	13,221	14,115	13,320	2x	21,584	1.6x
	MY	0	0	0	0	0	3	54	559	922	1,800	2,685	4,318	/	23,540	5.5x
	PH	0	0	0	0	0	0	0	1	62	342	745	1,570	/	14,022	8.9x
	TH	0	0	0	0	0	0	0	0	0	8	32	115	/	3,020	26.3x
Seller # by export market	ID	0	0	0	0	0	7	89	5,020	8,658	16,359	42,019	44,160	/	73,412	1.7x
	VN	0	0	0	0	0	131	493	3,207	12,978	23,399	29,809	32,028	/	79,155	2.5x
	MY	4,664	4,904	5,064	5,451	5,177	5,387	5,653	6,328	8,682	10,623	12,818	12,854	2.8x	33,268	2.6x
	TH	0	0	0	0	0	0	0	4	26	48	69	316	/	7,626	24.1x
	SG	0	0	0	0	0	0	0	0	2	48	67	130	/	356	2.7x
ADO by export market	ID	0	0	0	0	0	1	13	379	552	1,126	2,269	4,085	/	23,690	5.8x
	VN	0	0	0	0	0	2	41	180	458	1,149	1,453	2,205	/	13,287	6x
	MY	6,703	7,679	8,328	8,420	8,990	10,166	11,360	13,066	12,022	13,084	13,832	12,987	1.9x	23,591	1.8x
	TH	0	0	0	0	0	0	0	0	1	10	8	18	/	1,420	78.9x
	SG	0	0	0	0	0	0	0	0	0	0	15	28	/	178	6.4x

Performance [Dec MTD]: 20K ADO, +29% MoM; $314k ADG, +34% MoM; 89k active sellers, +11% MoM; Rest of Dec to focus on seller incubation program design in 2026, and finalize proposal to push for ads adoption and price competitiveness

Direct selling lane	ADO					ADG					ABS					# active sellers					# live SKUs (k)					SKU effi				
	MTD	RR	M-1	MoM	As% SIP	MTD	RR	M-1	MoM	As% SIP	MTD	RR	M-1	MoM	As% SIP	MTD	RR	M-1	MoM	As% SIP	MTD	RR	M-1	MoM	As% SIP	MTD	RR	M-1	MoM	As% SIP
Total	**20,503**	**106%**	**15,941**	**29%**	**10%**	**314,814**	**106%**	**234,518**	**34%**	**17%**	**$15.4**	**100%**	**$14.7**	**4%**	**169%**	**89,864**	**99%**	**81,106**	**11%**	**5%**	**11,858**	**103%**	**10,007**	**19%**	**17%**	**0.17%**	**103%**	**0.16%**	**0.01%**	**59%**
MY import	**4,524**	**105%**	**2,720**	**66%**	**5%**	**71,151**	**105%**	**42,539**	**67%**	**10%**	**$15.7**	**100%**	**$15.6**	**1%**	**185%**	**31,716**	**88%**	**29,034**	**9%**	**7%**	**4,351**	**95%**	**3,608**	**21%**	**22%**	**0.10%**	**110%**	**0.08%**	**0.03%**	**24%**
... IDMY	3,453	118%	1,881	84%	5%	49,855	124%	26,261	90%	9%	$14.4	105%	$14.0	3%	180%	19,879	100%	17,713	12%	8%	3,166	103%	2,578	23%	27%	0.11%	114%	0.07%	0.04%	19%
... VNMY	1,034	76%	824	26%	7%	20,583	77%	15,967	29%	17%	$19.9	102%	$19.4	3%	231%	11,657	72%	11,257	4%	12%	1,159	80%	1,017	14%	33%	0.09%	95%	0.08%	0.01%	22%
... SGMY	35	125%	15	127%	30%	581	136%	311	87%	9%	$16.6	109%	$20.2	-18%	30%	67	52%	64	5%	1%	14	42%	13	4%	2%	0.26%	300%	0.12%	0.14%	1274%
... THMY	2	92%	/		0%	133	47%	/		0%	$72.6	51%	/	/	510%	113	5650%	/		0%	12	96%	/		0%	0.01%	95%	/	/	11%
SG import	**13,138**	**99%**	**12,428**	**6%**	**36%**	**203,655**	**104%**	**177,028**	**15%**	**44%**	**$15.5**	**105%**	**$14.2**	**9%**	**120%**	**31,843**	**97%**	**29,897**	**7%**	**7%**	**3,900**	**99%**	**3,504**	**11%**	**22%**	**0.34%**	**100%**	**0.35%**	**-0.02%**	**164%**
... MYSG	12,483	98%	12,022	4%	61%	191,048	103%	169,486	13%	71%	$15.3	106%	$14.1	9%	118%	10,643	102%	10,451	2%	17%	1,009	99%	928	9%	49%	1.24%	98%	1.30%	-0.06%	123%
... IDSG	353	115%	156	125%	3%	6,715	115%	3,004	124%	5%	$19.0	100%	$19.2	-1%	160%	12,888	97%	11,470	12%	5%	2,201	99%	1,950	13%	22%	0.02%	116%	0.01%	0.01%	15%
... VNSG	302	126%	249	21%	10%	5,892	126%	4,539	30%	13%	$19.5	100%	$18.2	7%	139%	8,306	92%	7,976	4%	9%	689	99%	626	10%	24%	0.04%	127%	0.04%	0.00%	40%
... THSG	0		/		0%	0		/		0%			/	/	0%	6		/		0%	0	128%	/		0%	0.00%		/	/	0%
PH import	**2,697**	**172%**	**765**	**253%**	**4%**	**36,524**	**123%**	**14,206**	**157%**	**7%**	**$13.5**	**72%**	**$18.6**	**-27%**	**176%**	**24,145**	**116%**	**21,028**	**15%**	**5%**	**3,360**	**124%**	**2,769**	**21%**	**17%**	**0.08%**	**139%**	**0.03%**	**0.05%**	**22%**
... MYPH	215	158%	70	208%	4%	3,889	158%	1,687	131%	5%	$18.1	100%	$24.2	-25%	121%	1,386	124%	1,195	16%	3%	177	130%	142	24%	11%	0.12%	122%	0.05%	0.07%	40%
... IDPH	1,194	140%	281	325%	2%	22,978	117%	6,806	238%	7%	$19.2	84%	$24.2	-21%	308%	14,043	131%	11,614	21%	5%	2,442	134%	1,963	24%	20%	0.05%	105%	0.01%	0.03%	11%
... VNPH	1,277	226%	406	214%	18%	9,252	131%	5,424	71%	12%	$7.2	58%	$13.3	-46%	67%	8,559	99%	8,163	5%	9%	727	99%	660	10%	28%	0.18%	229%	0.06%	0.11%	66%
... THPH	12	72%	8	43%	0%	405	72%	288	40%	1%	$35.0	99%	$35.6	-2%	294%	157	87%	56	180%	0%	15	99%	4	311%	0%	0.08%	73%	0.22%	-0.15%	46%
TH import	**144**	**125%**	**28**	**414%**	**1%**	**3,484**	**130%**	**745**	**368%**	**3%**	**$24.2**	**104%**	**$26.6**	**-9%**	**242%**	**2,160**	**162%**	**1,147**	**88%**	**1%**	**247**	**77%**	**126**	**96%**	**2%**	**0.06%**	**163%**	**0.02%**	**0.04%**	**71%**
... MYTH	96	121%	28	241%	8%	2,546	125%	745	242%	20%	$26.7	103%	$26.6	0%	240%	1,344	103%	1,147	17%	3%	160	101%	126	27%	16%	0.06%	120%	0.02%	0.04%	54%
... IDTH	2	56%	/		0%	15	516%	/		0%	$9.3	928%	/	/	101%	73	2433%	/		0%	13	19%	/		0%	0.01%	289%	/	/	23%
... VNTH	47	142%	/		1%	922	147%	/		2%	$19.7	104%	/	/	184%	743	2252%	/		1%	75	76%	/		3%	0.06%	186%	/	/	39%

Highlights

Seller/SKU count: **99%/103% RR; +11%/ +19% MoM;** on track to hit target by EOM

- Weekly pop-up notification to resume after 16 Dec to boost seller's shop opening ratio; Ops to open shop feature on track to live on 18 Dec, which will enable ops to help agreed seller to open shops

ADO/ADG: **106%/106%RR; +29%/+34% MoM**; growth mainly driven by MY import lanes

- **Both VNMY 76% RR and MYSG 98% RR** due to lower SKU effi than projected, driven by lower seller/SKU acquisition than expected

Dec Reg team focus: 1) design seller programs for upcoming year including attractive new seller welcome package and incubation package for strategic sellers; 2) Understand seller's pain point is performance improvement like ads ROI, price competitiveness

Acquisition [Dec MTD]: Round 1 target direct seller pool pitching completed, 5% and ID and VN target sellers onboarded, highest conversion seen in Local Mall sellers. Q1-26 focus on repitching local Mall and managed sellers

IDMY	ID Seller #			ID ADO			ID ADO coverage		
	Pitching pool	Opened shop	Conversion	Pitching pool	Opened shop	Conversion	Pitcing pool	Opened shop	Conversion
Local Mall	9,502	486	3 5.1%	1,425,415	109,055	7.7%	8.7%	0.7%	3 7.7%
Other locally managed	9,463	228	2.4%	2,497,670	119,809	4.8%	15.3%	0.7%	4.8%
Locally unmanaged	474,409	22,131	4.7%	7,540,433	304,202	4.0%	46.2%	1.9%	4.0%
Total	**493,374**	**22,845**	**4.6%**	**11,463,518**	**533,066**	**4.7%**	1 **70.3%**	**3.3%**	**4.7%**

VNMY	VN Seller #			VN ADO coverage			VN ADO coverage		
	Pitching pool	Opened shop	Conversion	Pitching pool	Opened shop	Conversion	Pitcing pool	Opened shop	Conversion
Local Mall	2,202	299	3 13.6%	596,083	96,669	16.2%	11.9%	1.9%	3 16.2%
Other locally managed	9,562	804	8.4%	1,663,977	153,774	9.2%	33.2%	3.1%	9.2%
Locally unmanaged	278,392	12,932	4.6%	2,337,467	353,381	15.1%	46.6%	7.1%	15.1%
Total	**290,156**	**14,035**	**4.8%**	**4,597,527**	**603,824**	**13.1%**	2 **91.7%**	**12.0%**	**13.1%**

Highlights

1. IDMY pitching pool covers 70% of local ADO, 3% ADO onboarded to Direct selling, 5% conversion
2. VNMY pitching pool covers 92% of local ADO, 12% ADO onboarded to Direct selling, 13% conversion
3. Local Mall sellers in both ID and VN show highest seller and ADO coverage conversion ratio, as local teams place higher focus on acquiring reputable mall sellers via 1:1 pitching

- **Upcoming acquisition focus:** Working with A market teams to design more attractive seller seeding programs that can appeal to top mall/managed sellers who are willing to invest, which can be used as a selling point during acquisition.

Price competitiveness: System feature went live in end-Nov to default syncing seller price promotions in local shop to Direct shops; SKU coverage improved by 8-10%, price discount increased by 9-32pp

		IDMY			VNMY		
		Before	After	vs.	Before	After	vs.
Overall	Seller Qty	17,193	22,756	▲32%	12,806	14,011	▲9%
	Direct L30D ADO	1,421	2,707	▲90%	838	922	▲10%
	Promotion Sync Ratio	8%	14%	▲6%	12%	20%	▲8%
	1 Promotion Sync SKU Coverage%	10%	19%	▲8%	14%	24%	▲10%
	ABS	$13.50	$14.99	▲11%	$16.10	$19.66	▲22%
	SKU Efficiency	0.06%	0.07%	▲0.01%	0.07%	0.06%	▼0.01%
	Average. ASP	$13.76	$11.94	▼13%	$17.89	$19.06	▲7%
	Average. OP	$19.31	$30.74	▲59%	$40.01	$53.75	▲34%
	2 Discount%	-28.74%	-61.14%	▼32%	-55.29%	-64.54%	▼9%
Top 20 Sellers	Seller Qty	20	20	0	20	20	0
	Direct L30D ADO	502	361	▼28%	465	373	▼20%
	Promotion Sync Ratio	30%	30%	▼1%	21%	31%	▲10%
	Promotion Sync SKU Coverage%	8%	29%	▲21%	37%	42%	▲5%
	ABS	$7.09	$8.11	▲14%	$9.90	$10.55	▲7%
	SKU Efficiency	15.73%	10.46%	▼5.26%	14.72%	10.33%	▼4.39%
	Average. ASP	$7.55	$7.59	▲0%	$16.37	$14.26	▼13%
	Average. OP	$10.58	$10.79	▲2%	$22.24	$20.46	▼8%
	Discount%	-28.62%	-29.62%	▼1%	-26.40%	-30.32%	▼4%
Others	Seller Qty	17,173	22,736	▲32%	12,786	13,991	▲9%
	Direct L30D ADO	920	2,346	▲155%	373	550	▲47%
	Promotion Sync Ratio	8%	14%	▲7%	12%	20%	▲8%
	Promotion Sync SKU Coverage%	10%	19%	▲8%	14%	24%	▲10%
	ABS	$17.00	$16.04	▼6%	$23.84	$25.83	▲8%
	SKU Efficiency	0.04%	0.06%	▲0.02%	0.03%	0.04%	▲0.01%
	Average. ASP	$13.80	$11.96	▼13%	$17.90	$19.09	▲7%
	Average. OP	$19.36	$30.80	▲59%	$40.02	$54.02	▲35%
	Discount%	-28.74%	-61.18%	▼32%	-55.27%	-64.65%	▼9%

Highlights

Actions Taken:

- System feature to make new seller promotion to auto-sync to direct listings, go-live on 28 Nov
- SEH update and seller training on promotion sync logic by end Nov

Observation:

1. Promotion sync ratio increase to 8%/10% respectively for ID and VN, covering 19%/24% of SKUs
2. Discount ratio reached 60+% for both ID/MY; however, seller original price increase by 30%-50% causing FE selling price does not reduce significantly

Next Step:

- Interview seller on price setting challenges or any misconception on system recommended price by Jan 2026
- System development for online price calculator for seller to simulate income in seller center directly, target to live early Feb 2026

The End